

Editorial

The Dollar Downpour

IDURING AN OCTOBER '05 trip to Germany, I specifically asked Hector Ruiz, AMD president and CEO, whether there was any possibility of AMD putting up a semiconductor plant in India. He gave me a look that implied "No way!" To my question he politely replied, "I don't think this is possible for now, given the infrastructure and technology transfer constraints."

But just last month he made a personal visit to India and proudly announced an agreement to license AMD's proven process technology for SemIndia's planned wafer fabrication and assembly-test-mark-pack (ATMP) operations. AMD and SemIndia will now jointly develop and market semiconductor solutions for India. Now that's an about-turn from his earlier stance.

Incidentally, immediately after Ruiz left, Intel's chairman Craig Barrett made a surprise visit and announced a multi-year investment plan for India totalling more than \$1 billion, stating they plan to grow their local operations, boost venture capital investments, and work closely with the Government, industry, and educators.

Then came Bill Gates on his fourth visit to India and he upped the ante—making big-ticket announcements of investing \$1.7 billion in the country over the next four years, and hiring 3,000 people in the same time-frame—taking Microsoft's Indian manpower count to 7,000.

Earlier, Cisco, the world's leading networking firm, had announced a \$1.1 billion investment plan in India, while Vodafone decided to spend \$1.5 billion for a 10 per cent stake in Bharti Tele-Ventures Ltd.

This impressive investment line-up clearly indicates the confidence global players now have in India, both as a major market for IT products and as a location for high-tech manufacturing. We have moved on from being the software sweatshop of the world.

India is no longer just another potential growth market for technology companies. Rather, India has scaled up to be one of the most important countries to be focussed on and build a consumer base. We will soon witness launch of the latest gadgets and tech products simultaneous with their global launch. R&D efforts of major IT companies will also be tuned and customised to Indian consumer needs for products they wish to sell in India. Not to forget, it will also lead to a major spurt in recruitment in



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the Indian IT sector. No this time not for any back office operations but to work on developing newer and innovative technologies that will spawn better products for the global market.

India represents a major market for desktop and laptop computers as well as Internet-enabled devices. Industry observers expect the market to see strong growth in the near future, given the impetus provided by the Government towards increasing PC and Internet penetration. Also, India's Internet user base has registered a massive 54 per cent growth, with 38.5 million users as of 2005-06 from just 25 million in 2004-05.

It is these growth indicators that have compelled the corporate honchos of the world's leading PC and processor manufacturing companies to come personally to India and shell out billions of dollars.

Who's next?

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